

Hard Rules, Soft Handshakes: How Global Financial Governance Went Informal

Consider the difference between a futures contract and a forward contract. A futures contract is standardised, exchange-traded, and carries low counterparty risk — both parties know exactly what is owed, when, and enforced by whom. A forward contract is privately negotiated, over-the-counter, and carries real counterparty risk. It offers flexibility, but outcomes depend heavily on who has more bargaining power. Global financial governance increasingly resembles the latter.

A Spectrum, Not a Binary

Abbott et al. (2000) established that legalization is not binary but multidimensional — defined by obligation (are actors legally bound?), precision (how clearly are rules specified?), and delegation (is there an independent body to interpret and enforce?). These dimensions are separable, which matters enormously. An arrangement can be highly precise and delegated while still being constitutionally informal — constituted by non-binding instruments rather than a treaty. Roger (2020) documents exactly this trend: after decades of treaty proliferation, the international system has shifted toward informal international organisations (IIOs) that operate without binding legal foundations. The Basel Committee on Banking Supervision (BCBS) and the Financial Stability Board (FSB) are the clearest examples — their capital adequacy rules, liquidity frameworks, and stress-testing standards carry extraordinary technical precision, implemented across dozens of jurisdictions, yet remain soft law. Informality and rigour are not mutually exclusive.

Post-2008: Informalization as Crisis Response

The 2008 global financial crisis was a governance failure — under-supervised, fragmented oversight that triggered a domino effect felt across every economy. The institutional response — the FSB, the expanded BCBS, the European Stability Mechanism — marked a decisive informalization of financial governance. These were not new treaties. They were informal architectures, built urgently by technocratic consensus among central banks and regulators, precisely because formal treaty ratification was politically impossible. A binding Basel III through the US Senate was never on the table.

Of Abbott et al.'s three dimensions, obligation and precision do the real governance work here. Delegation — in theory the presence of an independent enforcement body — functions largely as a ceremonial rubber-stamp internationally. No supranational authority can compel sovereign compliance. What drives adoption instead is market pressure and peer scrutiny: banks operating below Basel III standards face restricted access to international capital markets. Compliance without obligation — effective, but fragile in ways worth acknowledging.

Legitimacy, Power, and Pragmatism

The BCBS and FSB were, bluntly, the brainchild of G7 nations. Their standards were designed in closed rooms and exported — through market pressure rather than formal negotiation — to economies with little voice in the original design. Is that legitimate governance or financial coercion dressed as a rules-based order? Neither framing is quite right. Like a machine learning model trained through thousands of costly errors, these rules emerged from collective catastrophe, not cynical power projection. The 2008 crisis left a scathing mark on the entire world; the post-

crisis architecture was a rational, if imperfect, attempt to prevent a repeat. That said, the footprints of Western institutional preference remain visible throughout — and the measurement challenges are real. Informal processes leave few records, elite policy networks resist mapping, and closed-door working groups produce decisions that never appear in official documents.

A New Order — Gradual, Multipolar, Informal

We have, in all likelihood, long passed the transitional phase. The emergence of the FSB, the BIS's expanded role, and the BCBS's de facto global reach suggest that informal financial governance is now the settled architecture, not a placeholder for something more formal to come. The question is not whether this will re-legalize, but whether the informal order can absorb the growing weight of multipolarity.

As long as China, India, and Brazil broadly benefit from financial stability, the existing architecture is unlikely to fracture dramatically. There will be instances where major economies protect national interests and appear to drift from prevailing norms — but the data does not yet support predictions of wholesale defection. What seems more plausible is a gradual, quiet rebalancing: not the confrontational rupture of Cold War-era bloc politics, but a slow diffusion of influence as emerging economies build their own regulatory capacity and negotiate greater voice within existing informal structures. More synergies through cooperation than fracture through competition.

The futures-versus-forwards analogy holds to the end. Informal financial governance, like a forward contract, offers flexibility and can accommodate the ideological differences and domestic constraints that would make a formal treaty impossible. But it concentrates power with those who have the most bargaining leverage — and in a world where that leverage is slowly redistributing, the question of who sets the terms of the next handshake is becoming politically urgent.

References

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